

earnings. Some players in the market didn't appreciate the news (and sent the stock down sharply that day), but others liked what they heard. The stock recovered to form a doji candlestick, where the opening and closing prices are near or at the same value. The bottom of that day formed turn 1.

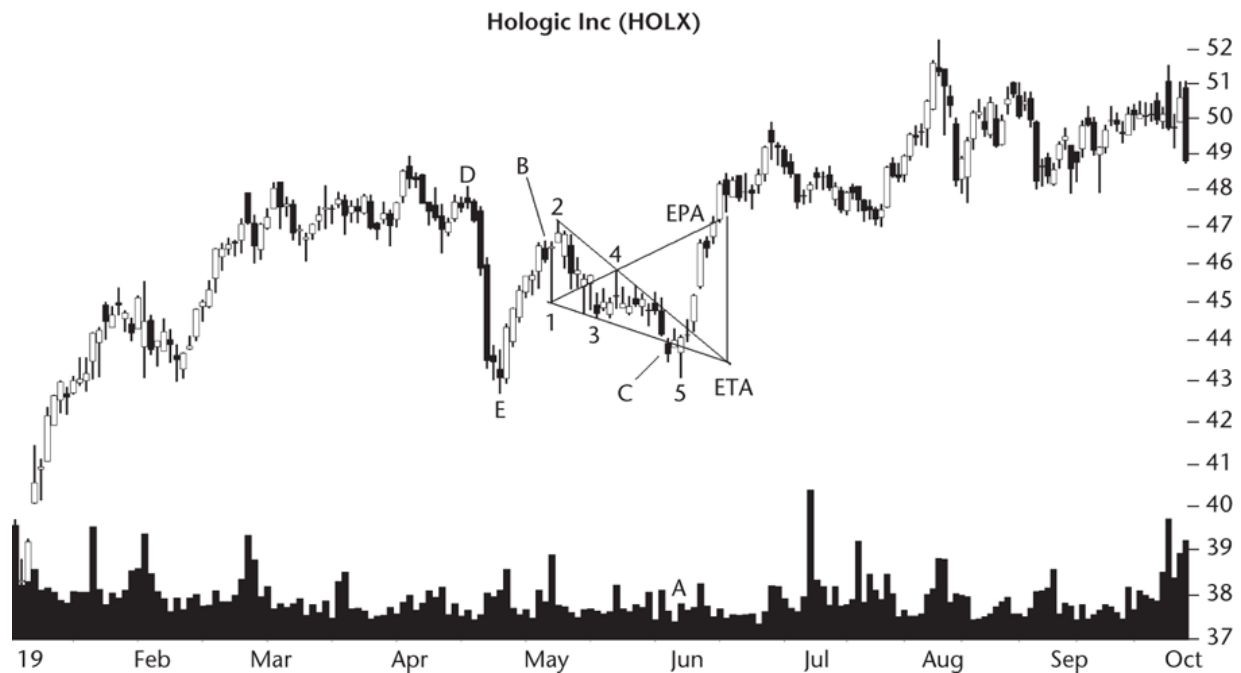


Figure 76.4 When the Wolfe wave works, it can be easy to make money quickly, as Honey found out.

Price peaked at turn 2, then wobbled lower, forming turns 3 and 4. At C, the company sent out a press release, titled, “FDA clearance of Aptima BV and Aptima CV/TV molecular assay ushers in new era of comprehensive and objective diagnostic testing for vaginitis.”

She thought that was good news, but the smart money the day before C sent price lower, and even on day C, the stock also closed down. Sometimes the anticipation of an event is more exciting than the actual event. To put it another way, buy on the rumor and sell on the news. Maybe that's what happened to the stock.

Volume the day before C was higher than at C, so even though price had dropped below the 1–3 line (signaling a potential turn 5, and a buy signal), Honey didn't bite.

She drew a line connecting turns 1 and 4, forming the EPA line. By extending lines 1–3 and 2–4 until they joined at the wedge's apex, she had